

Household financial survey

Motivation

In present times, financial institutions are playing a crucial role in all spheres. They are playing a vital role in shaping the economy as a whole. In financial institutions, the change in interest rates on loans, bonds, and deposits has an impact on the economy. It is because the change in interest rates influences the investment and savings behavior of households, and firms. Since both these parties are the major contributors to the GDP (Gross Domestic Product), changes in their savings, investment, and consumption behaviors impact the economy.

Although financial institutions such as banks, insurance companies, mutual funds, etc are doing well at the urban level, there is intense criticism of microfinance. Several arguments state that microfinance failed to accommodate the needs of people at the ground level. This paper is an attempt to study the role of financial institutions in household finance and observe the savings and investment behavior of households at the rural level. In addition, this paper covers some reasons why there is great criticism of microfinance.

Introduction

Household finance is how households use financial instruments to achieve their needs. In other words, household finance is how households make decisions on how much to invest, consume and save. They finance according to their needs and aspirations. This paper takes a look at the financial decisions of five rural households and discusses the findings which are collected through interviews. The paper also focuses on the role played by financial institutions in household finance. In addition to this, it deals with the questions like what is the source for credit and why they choose them.

For the sake of understanding the savings and investment behavior of households, I have chosen five households. Among these five households, the earning person of those families are men and all of them are self-employed. They own a kirana or a rice shop and most of them have only one source of income. In particular, I have chosen these five households to understand how Kirana or rice shop merchants make their household financial decisions.

A set of questions were asked to know their income, savings, consumption, other sources of income, Source of credit, problems in accessing credit, etc.

Findings

I interviewed five households. Among the five households, three of them own a kirana shop and two of them own a rice shop. These are middle-income households and they live in Parkal, a small town in the Warangal district. There are four members in every household, a girl and a boy child in each of the families. The major source of income for all five households is their respective shops. In addition, they have similar incomes and they don't get any benefit transfers or subsidies from the government.

Although they have similar incomes, their savings, investments¹, consumption patterns, sources of borrowing, and the problem they face for accessing credit are distinct from each other. In addition, the households also differ in terms of their assets and liabilities.

¹ Investment includes both financial investments such as insurance premiums, buying bonds and non-financial investments such as reinvestment in the business, buying vehicles, land, etc.

Below is the Profit and Loss statement of the five households.²

Profit and Loss Statement for five households per month.

(Values in rupees)

Outflows	Inflows
General living Expenses - 22,106 (19.6%) Groceries - 10,000 Electricity bill - 2,940 Clothing - 2,500 House tax - 1,469 Petrol - 1,280 Gas bill - 1,190 Mobile recharge - 1,150 Medicines - 1,020 Water - 300 Cable TV - 257	Income - 1,22,000 (84.4%)
Education - 12,200 (10.85%)	Other Sources of Income - 22,500 (15.6%)
Repayment of loans - 30,000 (26.7%)	Government cash transfers and subsidies - Nill (0%)
Interest payments - 35,400 (31.5%)	
Insurance Premium - 12,777 (Total) (11.35%) a. Health insurance - 5,000 b. Life insurance - 7,777	
Total - 1,12,483 (100%)	Total - 1,44,500 (100%)

Outflows

The money flowing out of the households through different types of expenses is called outflow.

Several kinds of expenses are as follows:

(i) General living expenses

I have placed all the daily expenses that the household has every month under the category called general living expenses. It is evident from the above table that a major chunk of the general living expenses is occupied by groceries and it is followed by electricity bills and money spent on clothing. But the cost of groceries for households who own Kirana shops and rice shops is slightly different since the Kirana shop owners get these for wholesale prices whereas the rice shop owners buy them for retail prices.

(ii) Education

The money spent by the household on their children's education comes under the category of 'education'. One interesting observation is that education is the 4th highest expense for all households which

² Since the expenses of the five households are mostly similar, I have made a consolidated P&L statement. To calculate the average outflows and inflows, I have taken the mean of outflows and inflows of five households.

constitutes nearly 11% of the expenses. In addition, households are spending more on their children's education irrespective of the gender of the child. In other words, they are spending no less on a girl child.

(iii) Repayment of loans (without interest rate)

The monthly repayment of money for the taken loans by households comes under the category of repayment of loans. It is the second highest expense of all five households which nearly constitutes 27% of the whole expenses and the first is 'interest payments' which is 31.5% of the whole expenses. This is true only in the beginning years of the loan taken. In the monthly expenses at the end of the loan term, the loan repayment to be paid will be higher than the interest payments. It is because the principal amount that needs to be paid will be reduced by the end of the loan term.

(iv) Interest payments

This is the cost of borrowing. The amount that has to be paid as an interest rate on the taken loan every month is the interest payment. This is the highest expense of all the households for the initial months of taking a loan and it diminishes as time passes if the loan is repaid every month on time. Since all the households have taken loans from either formal or informal sources, they all have the highest expense as interest payments.

If we look at the loan profile of households, three of them have taken loans from formal sources whereas two of them have taken from informal sources. Among those three, all of them have taken a housing loan. One in Cholamandalam Investment and Finance Company Limited (Chola), one in SBI, and one in Andhra Bank. And remaining households have taken home loans from money lenders.

When asked for their reasons for choosing money lenders for loans, two of them mentioned that they don't have enough property to put as collateral in banks. They added that money lenders do not ask for collateral for giving loans. One of the two households said that they are not aware of the loan process and suspicious of the bank's activities. These are some of the problems that households face in accessing credit.

(v) Insurance Premium

The households may take insurance such as life insurance, health insurance, etc. The money paid by the households to the insurance company every month as a premium is called an insurance premium. It constitutes nearly 11% of the whole expenses. Since the households will get their money back at some point in time, it is considered a financial investment. Among the five households, only three of them have taken insurance. One has taken life insurance at LIC (Life Insurance Corporation) and pays 5,000 per month as a premium and health insurance at Reliance Insurance, pays 88,000 per year. One has taken life insurance at LIC and pays 15,000 per month. One has taken life insurance at Shriram Insurance and pays 60,000 per year.³ The other two households who have not taken any kind of insurance mentioned that they don't have enough understanding of insurance policies⁴.

This talks about the investment behavior of households. The households mentioned that they invest only in insurance companies to save themselves from unforeseen events in the future. They added that they are unaware of stock markets, mutual funds, and government bonds.

³ The yearly paid premium is also accounted for in the monthly expenses by dividing it with twelve months.

⁴ The insurance premium section under the outflows is only of the households who have taken insurance.

Although they earn around a lakh every month, the actual income is not captured by any instrument, and none of the households pay income tax.

Inflows

The money flows into the households in the way of income, government cash transfers, and other sources of income called inflows.

(i) Income

The money derived from the work they do is considered income. In this case, I considered the money derived by the households from their respective kirana or rice shops after paying money to the suppliers, workers' wages, and transportation costs as income.

(In rupees)

The mean income	1,22,000
Standard Deviation of income	54,037

On average, the income of the households is 1,22,000 which constitutes 84.4% of the total inflows⁵. For seeing the spread of the income distribution of five households, I have looked for the measure 'standard deviation'⁶. The Standard deviation of this distribution is 54,037. This tells us that the incomes of households have deviated by 54,037 rupees from the mean income (1,22,000).

Although the household income from their major source is the same, they differ in the income derived from other sources.

(ii) Other sources of Income

The income derived from other than the major source is called other sources of income. In this case, only two of the households have other sources of income and it constitutes 15.6% of their total inflows. One among these two owns a mini function hall and the other receives income from house rent. Since only two of them have other sources of income, the mentioned value is for only those two households.

(iii) Government cash transfers and Subsidies

There are no cash transfers or subsidies obtained for all households.

Balance Sheet

The balance sheet of the households accommodates the liabilities and assets of the households. Although all the households have similar incomes, they differ in their liabilities and assets. Because of this, I have made a balance sheet for each of the households.

On the liabilities side, there are mortgage debts and unsecured debts for these households. Mortgage debts include loans taken with land or real estate as collateral and unsecured debts include loans that are taken from money lenders, loans from family and friends, credit cards, and overdraft facilities which are not backed up with any collateral.

⁵ I have calculated the mean incomes of five households.

⁶ It looks at the spread of incomes from the mean or average income and how much it is deviated from the mean income.

On the assets side, there are durable goods, real estate⁷, gold, and financial assets for these households. Durable goods include vehicles, other transport equipment, valuables, agriculture machinery, livestock, poultry, etc. Real estate includes land, buildings, and other constructions owned by the household for residential or vacation purposes. financial assets include cash, stocks, mutual funds, bank deposits, etc. Below are the balance sheets for five households.

For Household 1

Liabilities	Assets
Unsecured debt - 4 lakh (Interest rate - 1.5% per month) (100%)	Real estate (88.4%) Buildings(1) - 40 lakhs Land - 1.6 cents (18 lakhs)
	Durable goods (0.6%) Bike -1 (40,000)
	Gold - 70 grams (4,20,000) (6.4%)
	Financial assets - 3 lakhs (4.6%)
Total - 4 lakh (100%)	Total - 65,60,000 (100%)

For Household 2

Liabilities	Assets
Unsecured debt - 20 lakhs (Interest rate - 1.5% per month)	Real estate (83.8%) Buildings(1) - 45 lakhs Land - 1.6 cents (18 lakhs)
	Durable goods (0.8%) Bike -1 (60,000)
	Gold - 92.8 grams (5,56,800) (7.4%)
	Financial assets - 6 lakhs (8%)
Total - 20 lakhs (100%)	Total - 75,16,800 (100%)

For Household 3

Liabilities	Assets
Mortgage debt - 40 lakhs (Housing loan with 0.9% interest rate per month)	Real estate (92.1%) Buildings(2) - 60 lakhs Land (2 acres) - 70 lakhs Mini function hall - 70 lakhs
	Durable goods (0.3%)

⁷ I have also included the value of Kirana/Rice shop in this under buildings

			Bike - 1 (70,000)
			Gold - 105 grams (6, 30,000) (3%)
			Financial assets - 10 lakhs (4.6%)
Total	- 40 lakhs	(100%)	Total - 2,17,00,000 (100%)

For Household 4

Liabilities			Assets		
Mortgage debt	(52.4%)		Real estate	(89.8%)	
Housing loan - 30 lakhs (1.5% interest rate per month)			Buildings(2) - 70 lakhs		
Shop loan - 25 lakhs (1.5% interest rate per month)			Land (2 acres) - 80 lakhs		
Unsecured debt - 50 lakhs	(47.6%)		Durable goods	(4.2%)	
(Interest rate 2% per month)			Bike - 2 (1 lakh)		
			Car - 1 (6 lakh)		
			Gold - 34 grams (2,04,000)	(1.2%)	
			Financial assets - 8 lakh	(4.8%)	
Total	- 105 lakhs	(100%)	Total	- 1,67,04,000	(100%)

For Household 5

Liabilities			Assets		
Mortgage debt - 20 lakhs	(100%)		Real estate	(89.2%)	
(Housing loan with 1.5% interest rate per month)			Buildings(1) - 80 lakhs		
			Land (2.5 cents) - 30 lakhs		
			Durable goods	(0.4%)	
			Bike - 1 (45,000)		
			Gold - 116 grams (6,96,000)	(5.6%)	
			Financial assets - 6 lakh	(4.8%)	
Total	- 20 lakhs	(100%)	Total	- 1,23,41,000	(100%)

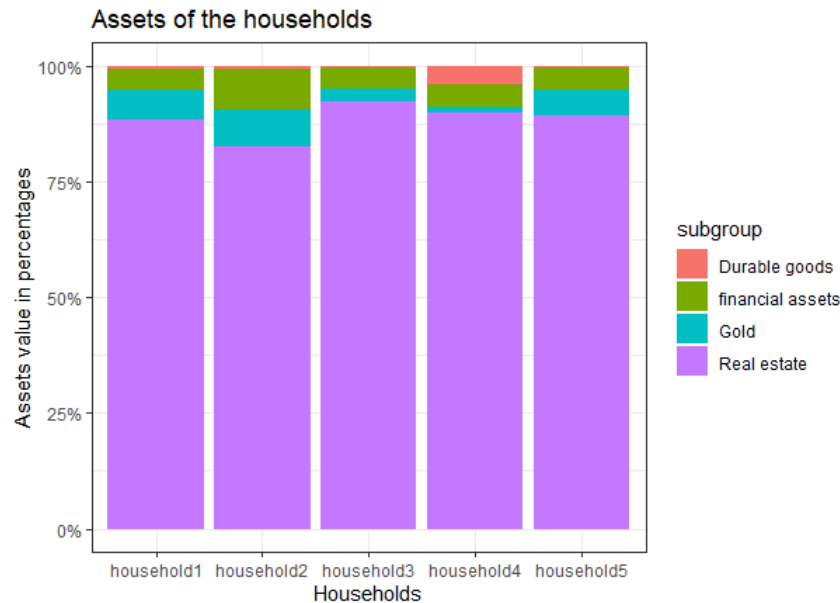
Observations from the balance sheets

If we look at the liabilities side, only three of them have taken loans from formal sources and two among these three put land as collateral for their housing loans. The other household has put their Kirana shop as collateral. The other households who have taken loans from informal sources i.e from money lenders did not back it up with any collateral; these are considered unsecured debts. In addition, they have mentioned

that although there are banks in their locality, they only opened savings accounts in one of the banks but never sought any loan because of no property.

Also, It is observed that all five households repay the EMI (Equated Monthly Installment) on time every month.

Assets side



It is evident from the above bar plot that most of the household's assets are in the form of real estate (buildings, land). It is followed by financial assets and gold. When asked why most of their assets are in the form of real estate, they replied that having land gives some kind of respect and they are not willing to sell their land even in the distant future. They also added that they don't want to live in a rental house, so they built a house by taking loans.

When asked about the fixed bank deposits, they mentioned that they have to reinvest in their business now and then by purchasing the stocks that are needed for the Kirana/rice shops.

Transactions

When asked about their daily transactions, until 2018 they have made all their transactions to the suppliers, pay bills, etc in cash but after that, they switched to UPI transactions. By 2019, they started accepting UPI payments in their shops because most of the customers asked for UPI scanners to pay for the items they bought. Currently, most of their transactions are happening not through cash but through UPI transactions.

Conclusion

In sum, the five households who are self-employed in rural areas have similar incomes, and expenses but they differ in their liabilities and assets. In terms of assets, most households prefer assets in the form of real estate. Since all the households don't have the same amount of assets, the investment behavior of the households differed. This has also influenced their choice of choosing the source of credit. From the perspective of microfinance, lower-income households in the same locality have the same problem

accessing credit. Some parts of this problem can be also attributed to unawareness and suspiciousness about financial institutions.

Key learnings

One of the major learnings is that most households whom I interviewed are unaware of bank loans, insurance premiums, stock markets, and mutual funds. There was always a notion of fear, and suspiciousness about the banks. In addition, all five households do not put their savings in fixed bank deposits, and the only financial investment that the majority of the households do is life insurance.

Note: The business cycle of the households was not observed because we are focussing solely on the use of financial instruments in household finance.